

THE STOCK MARKET BUBBLE

Stock markets are fascinating because they are so unpredictable. Furious activity is followed by long periods of lull. Many a fortune is made and lost. The greed and fear of participants make the stock markets volatile. The one who can understand this and in turn exploit it is easily the master.

Stock markets are known for their intermittent bubbles. To understand who and what causes them, we need to ascertain how the system works and what drives the participants. Systems Thinking¹ is an important tool we can use to understand the vagaries of the stock markets.



Systems Thinking

A system is that which maintains its existence and functions as a whole through the interaction of its various parts. A human body is a perfect example of a system. It consists of different parts and organs, each acting separately yet all working together and each impacting the others. Similarly, all around us there are systems, and systems within systems. Systems-thinking is looking at the whole picture, the different parts and the interconnection between the parts. It is thinking in circles, in loops rather than in straight lines. The parts of a system are all connected directly or indirectly. The action of one part affects the other and that other responds to the new influence. The influence then comes back to the first part in a modified way, making a loop not a straight line. This is known as the feedback loop. Hunger is a good example of this. When you feel hungry, you want to eat. So you eat as much as you need to satisfy your hunger. Once your hunger is satisfied you stop eating. Your hunger influenced your craving for food